

BEFORE THE CORPORATION COMMISSION OF THE STATE OF OKLAHOMA

APPLICATION OF PUBLIC SERVICE
COMPANY OF OKLAHOMA, AN
OKLAHOMA CORPORATION, FOR AN
ADJUSTMENT IN ITS RATES AND
CHARGES AND THE ELECTRIC SERVICE
RULES, REGULATIONS AND CONDITIONS
OF SERVICE FOR ELECTRIC SERVICE IN
THE STATE OF OKLAHOMA AND TO
APPROVE VARIOUS COST RECOVERY
MECHANISMS AND TARIFFS

PUD 2025-000075

LARGE LOAD SETTLEMENT TESTIMONY OF
FRANK J. BELING ON BEHALF OF
GENTNER F. DRUMMOND, OKLAHOMA ATTORNEY GENERAL

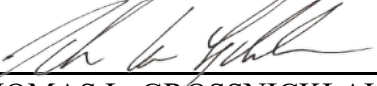
Gentner F. Drummond, the Attorney General of Oklahoma, on behalf of the utility customers of this State, hereby submits the Large Load Settlement Testimony of Frank J. Beling in the proceeding referenced above. The Attorney General urges close consideration of the testimony.

PUD 2025-000075

Large Load Settlement Testimony of Frank J. Beling

Respectfully submitted,

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PUD 2025-000075

Large Load Settlement Testimony of Frank J. Beling

CERTIFICATE OF SERVICE

On this 26th day of June 2026, a true and correct copy of the *Large Load Settlement Testimony of Frank J. Beling on Behalf of Gentner F. Drummond, Oklahoma Attorney General* was sent via electronic mail to the following interested parties:

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PUD 2025-000075

Large Load Settlement Testimony of Frank J. Beling

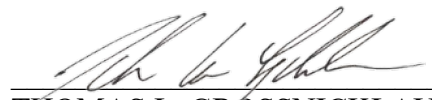
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Deputy Attorney General

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LARGE LOAD

SETTLEMENT TESTIMONY

OF

FRANK J. BELING

ON BEHALF OF

GENTNER F. DRUMMOND,

OKLAHOMA ATTORNEY GENERAL

June 26, 2026

I. INTRODUCTION

Q. PLEASE STATE YOUR NAME AND BUSINESS ADDRESS.

A. My name is Frank J. Beling, and my business address is 5555 North Grand Boulevard, Oklahoma City, Oklahoma 73112.

Q. PLEASE IDENTIFY YOUR EMPLOYER AND YOUR BUSINESS ADDRESS.

A. I am employed by C. H. Guernsey and Company (“Guernsey”) its Analytical Solutions Group, and my current title is Executive Vice President. My primary areas of responsibility include rate analysis, power supply planning, and risk management.

Q. ON WHOSE BEHALF ARE YOU TESTIFYING IN THIS PROCEEDING?

A. I am appearing on behalf of the Oklahoma Attorney General (“Attorney General”).

Q. ARE YOU THE SAME FRANK J. BELING WHO FILED RESPONSIVE TESTIMONY IN THIS PROCEEDING ON MAY 15, 2026?

A. Yes, I am.

Q. WHAT IS THE PURPOSE OF YOUR TESTIMONY IN THIS CASE?

A. The purpose of my testimony is to recommend, on behalf of the Attorney General, that the Oklahoma Corporation Commission (“Commission”) approve the Large Load Joint Stipulation and Settlement Agreement (“Large Load Joint Stipulation”) filed by the parties in this Case to resolve all outstanding issues among the signing parties. The Large Load Joint Stipulation represents a fair, just, and reasonable resolution of outstanding issues and is in the public interest.

1 **Q. WERE YOU INVOLVED IN THE DISCUSSIONS THAT LED TO THE**
2 **PROPOSED LARGE LOAD JOINT STIPULATION?**

3 A. Yes. I participated in the discussions that occurred leading up to June 26th, 2026 that led
4 to the terms of the Large Load Joint Stipulation.

5 **II. OVERVIEW OF LARGE LOAD JOINT STIPULATION**

6 **Q. WHO ARE THE SIGNATORIES TO THE PROPOSED LARGE LOAD JOINT**
7 **STIPULATION?**

8 A. The signing parties include Google LLC, the Oklahoma Attorney General (“Attorney
9 General”), and the Oklahoma Corporation Commission’s Public Utility Division (“PUD”).

10 **Q. ARE THERE ANY PARTIES THAT ARE NOT SIGNATORIES TO THE**
11 **PROPOSED LARGE LOAD JOINT STIPULATION?**

12 A. Yes. At the time of filing this testimony the Public Service Company of Oklahoma
13 (“PSO”), AARP, Data Center Coalition (“DCC”), Oklahoma Industrial Energy Consumers
14 (“OIEC”), the Petroleum Alliance of Oklahoma, Walmart Inc., and the U.S. Department of
15 Defense and all other Federal Executive Agencies (“DOD”) are not signatories.

16 **Q. DOES THE PROPOSED LARGE LOAD JOINT STIPULATION ADDRESS THE**
17 **CREATION OF A SEPARATE LARGE LOAD TARIFF FRAMEWORK?**

18 A. Yes. The Stipulating parties agree that the Company shall establish a new, separate Large
19 Load Tariff (“LLT”) applicable to eligible customers with contract demand exceeding 75
20 MW at a single delivery point. This tariff will not be treated as a carve-out from the
21 Company’s existing large power and light tariff (“LPL Tariff”).

PUD 2025-000075

Large Load Settlement Testimony of Frank J. Beling

Q. DOES THE PROPOSED LARGE LOAD JOINT STIPULATION ALLOW MULTIPLE SERVICE OPTIONS FOR ELIGIBLE CUSTOMERS WITH CONTRACT DEMAND EXCEEDING 75 MW?

A. Yes. The Stipulating parties agree that the LLT should include several flexible options for service, as shown below in Table 1.

Table 1 – Available Service Options under LLT

<u>Option</u>	<u>Generation Service</u>	<u>Delivery Service</u>
Option 1	Self-supply or bring-your-own-generation (“BYOG”) option under which a Customer takes no generation service from the Company	Company provides delivery service to Customer for its full needs
Option 2	Mixed service option under which a portion of Customer load is served by its own generation and a portion is served by the Company generation	Company provides delivery service to Customer for its full needs
Option 3	Full utility generation service option under which the Customer takes all generation service from the Company	Company provides delivery service to Customer for its full needs

Q. DOES THE PROPOSED LARGE LOAD JOINT STIPULATION ADDRESS THE COST CAUSATION PROTECTIONS INTRODUCED IN THE DATA CENTER CUSTOMER PROTECTION ACT OF 2026?

A. Yes. The Stipulating Parties intend for the tariff approved under this Large Load Joint Stipulation to comply with the Data Center Customer Protection Act of 2026 and any Commission rule, order, or directive implementing the Act. The Stipulating Parties further agree that the tariff will be interpreted, administered, and, if necessary, modified to protect residential, commercial, industrial, and other non large load customers from unjust rates

1 directly resulting from electric service to large load customers, and to ensure that costs and
2 revenues are assigned and allocated consistent with cost-causation principles.

3 **Q. PLEASE DESCRIBE HOW THE COST OF NEW REQUIRED DELIVERY**
4 **FACILITIES ARE HANDLED IN THE PROPOSED LARGE LOAD JOINT**
5 **STIPULATION.**

6 A. Large load customers will fully fund the direct-connect transmission and interconnection
7 facilities required to serve them, whether through a Contribution in Aid of Construction
8 (“CIAC”) or another Commission-approved mechanism, regardless of the service option
9 selected. These types of facilities would include delivery facilities that are not SPP-required
10 network upgrades.

11 **Q. PLEASE DESCRIBE HOW THE COST OF REQUIRED NETWORK UPGRADES**
12 **ARE HANDLED IN THE PROPOSED LARGE LOAD JOINT STIPULATION**
13 **FRAMEWORK.**

14 A. Large load customers will fully fund a portion of required network upgrades necessary to
15 prevent impacts on the Company’s transmission rates for existing customers. In other
16 words, the large load customers will prefund enough of the network upgrades such that
17 when the remaining new transmission costs of serving the load (network upgrades not pre-
18 funded, network transmission service, etc.) and the new billing units are added to the
19 Company rates, it does not result in a rate increase.

1 **Q. PLEASE DESCRIBE HOW THE UPWARD RATE PRESSURE FROM THE NEW**
2 **REQUIRED GENERATION FACILITIES IS ADDRESSED IN THE PROPOSED**
3 **LARGE LOAD JOINT STIPULATION.**

4 A. The upward rate pressure from the cost of new required generation facilities would be
5 mitigated by a System Impact Charge (“SIC”), which will be charged to new large load
6 customers. The SIC will be for the benefit of other Customer classes to prevent rate increase
7 resulting from incremental generation additions used to serve new large loads.

8 **Q. DOES THE PROPOSED LARGE LOAD JOINT STIPULATION INCLUDE**
9 **MECHANISMS THAT LIMIT THE RISK OF STRANDED INVESTMENT FOR**
10 **THE COMPANY?**

11 A. Yes. The proposed Large Load Joint Stipulation limits stranded investment risk through
12 long minimum contract terms, up-front customer funding for direct-connect and portions
13 of network upgrades, collateral requirements, minimum billing demand requirements, and
14 an exit fee. The Exit Fee would recover unrecovered and non-avoidable costs when the
15 customer terminates service.

16 **Q. DOES THE PROPOSED LARGE LOAD JOINT STIPULATION FRAMEWORK**
17 **INCLUDE A MECHANISM TO ENSURE NEW LARGE LOAD CUSTOMERS**
18 **ARE TREATED FAIRLY?**

19 A. Yes. The Proposed Joint Stipulation framework includes a true-up mechanism to ensure
20 that charges and allocations are fairly allocated. True-up mechanisms can help ensure that
21 new customers pay only costs properly attributable to their service, while also protecting
22 existing customers from cost shifts. True-up mechanisms can help ensure that new

1 customers pay only costs properly attributable to their service, while also protecting
2 existing customers from cost shifts.

3 **Q. DO THE SYSTEM IMPACT CHARGE AND TRUE-UP MECHANISMS**
4 **INCLUDED IN THE PROPOSED LARGE LOAD JOINT STIPULATION**
5 **FRAMEWORK REQUIRE FURTHER DEVELOPMENT?**

6 A. Yes. While the Proposed Large Load Joint Stipulation framework establishes the basic
7 structure for a true-up mechanism, additional detail will be required as the tariff is further
8 developed and implemented. I recommend that the Commission order the parties to
9 develop details to the framework that will accomplish the principles agreed to in the Large
10 Load Joint Stipulation.

11 **Q. DOES THE PROPOSED LARGE LOAD JOINT STIPULATION FRAMEWORK**
12 **FOLLOW COST CAUSATION PRINCIPLES?**

13 A. Yes. The proposed Large Load Joint Stipulation applies cost causation principles by
14 assigning costs from direct-connect facilities, incremental network upgrades, and
15 incorporating a system impact charge that will ensure that costs are allocated to each
16 customer class in a manner that follows cost-causation principles. The framework also
17 incorporates a true-up, to ensure that adjustments can be made in the event that cost-shifts
18 occur.

19 **Q. HAVE YOU INCLUDED AN EXAMPLE IMPLEMENTATION OF A TARIFF**
20 **BASED ON THE PRINCIPLES OUTLINED IN THE PROPOSED LARGE LOAD**
21 **JOINT STIPULATION?**

22 A. Yes. Attached Exhibit FJB-1 is an example implementation of a tariff. The example tariff
23 includes the principles included in the Large Load Joint Stipulation.

1
2 **III. EVALUATION OF LARGE LOAD JOINT STIPULATION**

3 **Q. DOES THE PROPOSED LARGE LOAD JOINT STIPULATION BY THE**
4 **STIPULATING PARTIES ADDRESS CONCERNS RAISED BY THE ATTORNEY**
5 **GENERAL?**

6 A. Yes. The Large Load Joint Stipulation addresses several concerns raised by the Attorney
7 General including rate impact to other customer classes, risk of stranded investment, and
8 fair allocation of costs.

9 **Q. DOES THE PROPOSED LARGE LOAD JOINT STIPULATION RESOLVE ALL**
10 **ISSUES RELATED TO THE LARGE LOAD TARIFF, OR WILL FURTHER**
11 **DEVELOPMENT BE NECESSARY?**

12 A. While the proposed tariff framework does not resolve every implementation issue that may
13 arise, it provides an appropriate starting point for further development. If additional tariff
14 provisions are developed through subsequent discussions or filings, the parties involved in
15 the Large Load Joint Stipulation should be included to ensure their interests and concerns
16 are appropriately considered.

17 **Q. SHOULD THE ATTORNEY GENERAL'S ASSENT TO ANY TERM IN THIS**
18 **PROPOSED LARGE LOAD JOINT STIPULATION BE CONSTRUED AS**
19 **ADVOCATING FOR SIMILAR TREATMENT IN OTHER CASES?**

20 A. No. The Large Load Joint Stipulation is only to be viewed in its totality. It represents a
21 negotiated position where parties receive certain terms in exchange for others. The Joint
22 Stipulation is not precedential and should not be relied on as a representation of the
23 Attorney General in future matters.

Q. IS THE PROPOSED LARGE LOAD JOINT STIPULATION IN THE PUBLIC INTEREST?

A. Yes. The Large Load Joint Stipulation balances the interests of all the Stipulating Parties, and represents a fair, just, and reasonable means to resolve the outstanding issues related to new large loads in this Case through reasonable compromise.

Q. WHAT IS YOUR RECOMMENDATION?

A. On behalf of the Attorney General, I recommend that the Commission approve the Large Load Joint Stipulation and Settlement Agreement reached by the Stipulating parties.

IV. CONCLUSION

Q. PLEASE SUMMARIZE YOUR RECOMMENDATIONS.

A. The Large Load Joint Stipulation will establish a separate large load tariff, includes flexible service options, assigns costs consistent with cost-causation principles, and contains protections intended to limit cost shifts and stranded investment risk. For these reasons, I recommend that the Commission approve the Large Load Joint Stipulation and Settlement Agreement reached by the parties.

Q. DO YOU HAVE ANY ADDITIONAL COMMENTS?

A. Yes. My testimony is limited to the subject matters discussed. The Commission and the stakeholders should not infer my agreement with or support for a subject matter not covered in this testimony.

Q. DOES THIS CONCLUDE YOUR TESTIMONY?

A. Yes, it does.

AFFIDAVIT OF FRANK J. BELING

KATHLEEN TANKSLEY
NOTARY PUBLIC
COMM #
04000797
EXPIRES
12/31/2028
Subscribed and
STATE OF OKLAHOMA

My Commission expires on 1-28-78
#84100 797

PUBLIC SERVICE COMPANY OF OKLAHOMA
P.O. BOX 201
TULSA, OKLAHOMA 74102-0201

ORIGINAL SHEET NO. 20A - 1
EFFECTIVE DATE: [PENDING OCC APPROVAL]

SCHEDULE: LARGE LOAD SERVICE (LLS)

RATE CODES 250, 252, 254

1. PURPOSE, STATUTORY BASIS, AND AVAILABILITY

This Schedule sets out the separate terms, conditions, and tariff for large load customers required by the Data Center Consumer Ratepayer Protection Act of 2026, HB2992 (the "Act"), effective July 1, 2026. It is a separate, stand-alone schedule and is not a carve-out from Schedule LPL or any other schedule. Consistent with the Act, this Schedule is intended to protect other customer classes from unjust rates caused by large load customers, to assign costs on a cost-causation basis, and to maintain separate terms and a separate tariff for such customers, and it shall be interpreted, administered, and if necessary modified to conform to the Act and to any Commission rule or order. HB2992, §§ 3–4.

This Schedule is available to any retail customer with a Contract Demand (the maximum demand the Company agrees to make available at the delivery point) exceeding 75 MW at a single delivery point, regardless of the level, if any, of behind-the-meter or self-supplied generation, on or after July 1, 2026. A written Service Agreement is required; service is provided at one delivery point and standard voltage; and a Customer taking service under this Schedule shall not concurrently take service under any other retail schedule for the same load.

2. SERVICE OPTIONS

Each Customer shall elect one of the following Service Options in its Service Agreement:

Option 1 — Self-Supply / BYOG (Rate Code ____). The Customer takes no generation service from the Company and may self-supply up to 100% of its capacity and energy under Rider SSS.

Option 2 — Partial Requirements (Rate Code ____). Part of the load is served as Option 1 (self-supplied) and the remainder as Option 3 (Company-served). Wherever a term below differs by Option, Option 1 terms apply to the Option 1 portion of load and Option 3 terms apply to the Option 3 portion.

Option 3 — Full Requirements (Rate Code ____). The Customer takes all of its generation (capacity and energy) from the Company and does not self-supply.

3. CONTRACT TERM

Option 1. Not less than ten (10) years, the minimum required by law, subject to the Act's exception for certain public power utilities using tax-exempt financing. 17 O.S. § 903.

Option 2. Option 1 term for the Option 1 portion; Option 3 term for the Option 3 portion.

Option 3. Fifteen (15) years, which may include a Customer-elected load ramp of up to five (5) years.

Rates Authorized by the Oklahoma Corporation Commission
Effective Date: [Pending Order]

PROPOSED — FOR APPROVAL

PUBLIC SERVICE COMPANY OF OKLAHOMA
P.O. BOX 201
TULSA, OKLAHOMA 74102-0201

ORIGINAL SHEET NO. 20A - 2
EFFECTIVE DATE: [PENDING OCC APPROVAL]

SCHEDULE: LARGE LOAD SERVICE (LLS) RATE CODES 250, 252, 254

As described in "Option 2" above, the contract terms shall be independent between load served under Option 1 and Option 3.

4. CONTRIBUTION IN AID OF CONSTRUCTION AND NETWORK UPGRADES

For all Service Options, the Customer shall fund up front, through a Contribution in Aid of Construction (CIAC), the full cost of the direct-connect facilities required to serve its load, and shall prefund a portion of the required network upgrades sufficient to prevent any increase in the Company's transmission rate to existing customers.

For all Service Options, the Customer shall fund up front, through a CIAC, 100% of the direct-connect facilities cost, and shall prefund network upgrades as follows:

- a. **Studies.** The Company shall complete a System Impact Study and Facilities Study using the same planning criteria, models, and unit costs applied to all transmission customers, and shall share all results and workpapers with the Customer.
- b. **Prefunded Amount.** Equal to the network upgrade costs directly assignable to the Customer under a Commission-approved cost-causation allocation, sized to hold the transmission rate charged to non-Schedule customers at or below the level that would prevail absent the Customer's load.
- c. **Certification.** The Company shall file a sworn rate-neutrality certification with supporting calculations.
- d. **Refunds.** Prefunded amounts are refundable under FERC Order 2003 Attachment Z crediting, capped at the Prefunded Amount, without interest.
- e. **Uniform Application.** Identical inputs and methodology shall apply to all Schedule Customers.
- f. **True-Up Applicability.** The Prefunded Amount, supporting studies, cost-causation allocation, and rate-neutrality certification are subject to reconciliation under the Section 8 True-Up Mechanism, with symmetrical adjustments, refunds, or additional contributions as warranted.

5. RATES, BILLING DEMAND, AND MINIMUM CHARGES

Base Service Charge. \$280.00 per month (the current Schedule LPL charge, interim and subject to cost-of-service determination and the True-Up Mechanism).

Rates Authorized by the Oklahoma Corporation Commission
Effective Date: [Pending Order]

PROPOSED — FOR APPROVAL

PUBLIC SERVICE COMPANY OF OKLAHOMA
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ORIGINAL SHEET NO. 20A - 3
EFFECTIVE DATE: [PENDING OCC APPROVAL]

SCHEDULE: LARGE LOAD SERVICE (LLS) RATE CODES 250, 252, 254

Generation Service Charges. A generation capacity charge (\$/kW) and a generation energy charge (\$/kWh) apply to load taking Company generation service (all Option 3 load and the Option 3 portion of Option 2). For self-supplied load under Rider SSS, both charges are \$0.00.

Transmission and Rider Charges. Transmission and applicable rider charges shall continue to apply based on the customer's total metered demand under each Option.

System Impact Charge. An adder that will mitigate possible rate increase to other Customer classes. The System Impact Charge may be zero if the addition of the Customer and associated generation could not cause a rate increase to other Customer classes.

Rate setting. The generation, delivery, and transmission charges, and the allocation between them, shall be established and adjusted in a general rate case or other Commission-approved proceeding consistent with the Act's cost-causation requirements and the True-Up Mechanism; the corresponding Schedule LPL levels apply on an interim basis.

Billing Demand. For each Option the monthly Billing Demand shall be not less than 80% of Contract Demand, determined under the Service Agreement either by (a) automatically increasing Contract Demand to any higher metered peak, or (b) physically limiting the Customer's load to Contract Demand. For Option 2 the floor and the elected method apply separately to each portion.

Minimum Monthly Bill. The Base Service Charge plus: for Option 1, the minimum transmission charges on Billing Demand and non-generation riders at actual usage; for Option 2, each Option's minimum applied to its portion; and for Option 3, the minimum transmission charges and generation demand charges on Billing Demand and all riders at actual usage.

The System Contribution Rider does not apply to any Service Option under this Schedule.

6. COLLATERAL AND CREDIT SUPPORT

Option 1. None required.

Option 2. Option 1 terms for the Option 1 portion (none); Option 3 terms for the Option 3 portion.

Option 3. Collateral or credit support equal to forty-eight (48) months of non-fuel minimum bills, recomputed annually, provided in one or more of the following forms:

- a. A guarantee from the ultimate parent or a corporate affiliate of the Large Load Customer for the full Collateral Requirement, so long as the guarantor has both (a) a credit rating of at least A- from S&P and A3 from Moody's and (b) liquidity greater than ten times the Collateral Requirement; or
- b. A standby irrevocable letter of credit ("Letter of Credit") for the full Collateral Requirement. The Letter of Credit must be issued by a U.S. bank or the U.S. branch of a foreign bank, which is not affiliated with the Large Load Customer or its guarantor, with a Credit Rating of at least A- from S&P and A3 from Moody's. Such security must be issued for a minimum term

Rates Authorized by the Oklahoma Corporation Commission
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PROPOSED — FOR APPROVAL

PUBLIC SERVICE COMPANY OF OKLAHOMA
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ORIGINAL SHEET NO. 20A - 4
EFFECTIVE DATE: [PENDING OCC APPROVAL]

SCHEDULE: LARGE LOAD SERVICE (LLS)

RATE CODES 250, 252, 254

of 360 days. The Large Load Customer must cause the renewal or extension of the security for additional consecutive terms of 360 days or more no later than 30 days prior to each expiration date of the security. If the security is not renewed or extended as required herein, the Company will have the right to draw immediately upon the Letter of Credit and be entitled to hold the amounts so drawn as security. The Letter of Credit must be in a format acceptable to and approved by the Company; or

c. Cash for the full Collateral Requirement.

7. EXIT AND EARLY TERMINATION

Option 1. The Customer may exit at any time with no exit fee.

Option 2. Option 1 terms for the Option 1 portion; Option 3 terms for the Option 3 portion.

Option 3. The Customer may give notice of exit after sixty (60) months of initial service and notice to terminate shall be 24 months. The exit fee equals the net present value, discounted at the Commission-approved carrying-charge rate, of the remaining costs directly assigned to the Customer, following cost-causation principles in Section 8, over the remaining Contract Term, comprising: (a) unrecovered capital investment in generation, transmission, and direct-connect facilities; and (b) non-terminable contractual commitments incurred to serve, or for the benefit of, the Customer. The fee excludes (i) financial obligations the Company can terminate and (ii) any plant, CPA, or PPA usable to serve net-new load, and shall be reduced by mitigation under this Section. The calculation shall be itemized, auditable, and subject to Section 8 reconciliation.

Following receipt of proper notice, through the Exit Fee Period, the Company will use reasonable efforts, consistent with its obligations as a public utility, to mitigate the Exit Fee amount owed or paid by the Large Load Customer by evaluating the opportunity to assign the terminated/reduced capacity to serve new Large Load Customers, to expand service to existing Large Load Customers, or otherwise secure offsetting expected revenues. The remainder of any mitigating amounts owed to the Large Load Customer shall be delivered to the Large Load Customer, or its designated successor, after all outstanding balances have been resolved.

If there is an issue concerning the calculation of the Exit Fee or delivery of any mitigation amounts, that either the Company or Large Load Customer view as in need of escalation, either the Company or Large Load Customer may request escalation. Such request shall be made in writing and within 14 business days of the Large Load Customer being notified regarding the Exit Fee calculation. In such instance, management representatives for the Company and for the Large Load Customer will discuss and seek to resolve any issues. The management discussion shall occur within 14 business days of a request, unless otherwise agreed to in writing by the Company and Large Load Customer. The Company and Large Load Customer agree to use this escalation process in good faith, escalating only those matters appropriate for

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ORIGINAL SHEET NO. 20A - 5
EFFECTIVE DATE: [PENDING OCC APPROVAL]

SCHEDULE: LARGE LOAD SERVICE (LLS)

RATE CODES 250, 252, 254

management's consideration. This dispute resolution process does not limit or otherwise affect the ability of either Large Load Customer or the Company to file a formal proceeding requesting the Commission to resolve the dispute.

8. TRUE-UP MECHANISM

Purpose and Scope. In each general rate case, fuel adjustment clause review, or other Commission-approved proceeding dedicated to this Tariff or True-ups related to this Tariff, the Company shall apply a standardized, customer-specific reconciliation to ensure that costs and revenues under this Schedule are assigned on a documented cost-causation basis and that neither other customer classes nor the Large Load Customer bears costs not fairly allocated to it.

Commission-Approved Methodology. Before any true-up amount may be billed, credited, deferred, or included in collateral, CIAC, network-upgrade balances, or exit-fee calculations, the Company shall use a Commission-approved methodology, template, materiality threshold, carrying-charge rate, and data-input protocol. The same methodology shall be applied uniformly to similarly situated Customers.

Annual Informational Filing. By [date] each year, the Company shall file and serve on each affected Customer a standardized reconciliation report showing:

- a. directly assigned costs;
- b. allocated costs and allocation factors;
- c. revenues collected;
- d. CIAC and network-upgrade balances;
- e. collateral and exit-fee assumptions;
- f. mitigation, offsets, credits, third-party contributions, and avoided costs;
- g. any under- or over-collection; and
- h. whether any cost shift to or from other customer classes occurred.

Symmetrical Prospective Adjustments. After notice, opportunity for review, and Commission approval, material variances of [2%] or more may be reflected prospectively through rates, riders, credits, refunds, collateral, CIAC balances, network-upgrade balances, or exit-fee inputs. Under-collections shall be recovered only from the affected Customer. Over-collections shall be refunded or credited to the affected Customer. Adjustments shall include the same Commission-approved carrying-charge rate for both under- and over-collections.

Deferral Treatment. Any regulatory asset or liability shall be recorded only if authorized in advance by the Commission and shall apply symmetrically to under- and over-collections.

Customer Rights and Disputes. The Customer may review and audit supporting workpapers under reasonable confidentiality protections, contest any proposed adjustment, invoke the Section 7 escalation process, and seek Commission resolution. Only undisputed or Commission-approved amounts may be reflected in bills or security requirements.

Rates Authorized by the Oklahoma Corporation Commission
Effective Date: [Pending Order]

PROPOSED — FOR APPROVAL

PUBLIC SERVICE COMPANY OF OKLAHOMA
P.O. BOX 201
TULSA, OKLAHOMA 74102-0201

ORIGINAL SHEET NO. 20A - 6
EFFECTIVE DATE: [PENDING OCC APPROVAL]

SCHEDULE: LARGE LOAD SERVICE (LLS) RATE CODES 250, 252, 254

Rate-Shock Protection. Unless the Commission finds extraordinary circumstances, no annual net adjustment may exceed [10%] of the Customer’s prior-year billed amount, and any excess shall be amortized over at least [12] months with 90 days’ written notice.

No Retroactive Ratemaking. No adjustment shall be retroactive unless expressly authorized by law and approved by the Commission through a pre-existing deferral, tracker, rider, or other lawful mechanism. This Section does not authorize retroactive ratemaking, recovery of imprudent costs, double recovery, retention of over-collections, or shifting of Large Load Customer costs to other customer classes.

System Impact Charges and Revenues. Revenues and benefits produced by any System Impact Charges shall be for the benefit of other Customer classes to mitigate potential rate increases. Any such revenues shall be credited to other Customer classes through the Fuel Adjustment Clause and shall not benefit Customers taking service under this Large Load Tariff.

9. RIDER SSS — SELF-SUPPLY SERVICE

A Customer with a verified peak demand of 75 MW or more at a single delivery point may self-supply up to 100% of its capacity and energy through a qualified third-party wholesale supply or behind-the-meter generation. Rider SSS applies to Option 1 and to the Option 1 (self-supplied) portion of Option 2; it does not apply to Option 3.

For load served under this Rider, the generation capacity and energy charges are \$0.00/kW and \$0.00/kWh, the self-supplied load is not subject to fuel adjustment or any generation-related rider, and delivery, transmission, and applicable rider charges continue to apply on the Customer's total metered demand.

10. GENERAL PROVISIONS

Billing Adjustments. Self-supplied load under Rider SSS is not subject to fuel adjustment on the self-supplied portion.

Terms of Payment. Bills are due by the due date; unpaid amounts are assessed a late charge of 1½% per month.

Conformance with the Act. Compliance with the Act is a condition of serving large load customers, and the Commission may promulgate rules and enforce the Act within its jurisdiction. HB2992, § 6. If any provision of this Schedule conflicts with the Act, a Commission rule, or a Commission order, this Schedule shall be deemed modified to conform while preserving, to the maximum extent lawful, its intended effect, and no provision shall be construed to limit the Act.

Rates Authorized by the Oklahoma Corporation Commission
Effective Date: [Pending Order]

PROPOSED — FOR APPROVAL